Board Policy 1.80.01060.040-P

District Performance Auditing

I. Office of Performance Auditor

A. Portland Public Schools ~~shall~~will maintain an Office of Performance Auditor. The office ~~shall~~will be staffed by a Board-approved District Performance Auditor (Auditor), who ~~shall~~will be hired, evaluated, and may be removed by the Board, and such other employees or contractors as the Board provides budgetary funding.

B. The Office of Performance Auditor ~~shall~~will adhere to Generally Accepted Government Auditing Standards (GAGAS) in conducting its work and ~~shall~~will be considered independent as defined by those standards.

II. Audit Committee

A. The Audit Committee ~~shall~~will be comprised of five members appointed by the Board and all appointees ~~shall~~will be independent of PPS's ~~the district's~~ management and administrative service. The Audit Committee will be comprised of three members of the Board and two community members that have a general knowledge of PPS ~~the District~~ and the audit process.

B. The two community members ~~shall~~will serve as non-voting members of the Audit Committee for two years and may be re-appointed at the end of their term.

C. The Board recognizes that community members bring specialized knowledge and expertise to the Audit Committee. Community members serving on the Audit Committee ~~shall~~will employ discretion, avoid conflicts of interest and their appearance, and exercise care in performing their duties. Community members appointed to the Audit Committee ~~shall~~will follow the ethics rules contained in ORS Section 244.

D. The Audit Committee welcomes up to two students to participate as ex officio members of the Audit Committee. The students may be appointed to the Audit Committee by the Student Representative to the Board and/or at the discretion of the Chair of the Audit Committee.

E. The Auditor and their staff ~~shall~~will report to the Audit Committee, and the Auditor ~~shall~~will be annually evaluated by the Board using PPS's ~~the school district's~~ evaluation instrument. The Auditor ~~shall~~will report to the Deputy Superintendent for Business & Operations (or comparable role) for administrative purposes such as leave approval,

office space and supplies, paychecks, and reimbursements.

III. Assistants and Employees

A. The Office of Performance Audit ~~shall~~will be provided a separate budget (subject to available resources) sufficient to carry out the responsibilities and functions established in this policy.

B. Within budget limitations and consistent with PPS~~District~~ policies and procedures, the Auditor ~~shall~~will have the authority to ~~,~~ employ~~,~~ and remove other employees of the Office of Performance Audit or contractors as deemed necessary for the efficient and effective administration of the duties of the office~~,~~.

IV. Scope of Audits

A. The Auditor ~~shall~~will have authority to conduct performance or other audits of all schools, offices, activities, and programs – including contracted programs - to independently determine whether:

i. Activities and programs being implemented have been authorized by PPS~~District~~ policy, state law, or applicable federal law or regulations;

ii. Activities or programs are conducted efficiently and effectively to accomplish the objective intended by PPS~~District~~ policy, state law, or applicable federal law or regulations;

iii. Activities and programs are being conducted and funds expended in compliance with applicable laws;

iv. Revenues are being properly collected, deposited, and accounted for;

v. Financial and other reports are being provided that disclose fairly and fully all information that is required by law, that is necessary to ascertain the nature and scope of programs and activities, and that is necessary to establish a proper basis for evaluating the programs and activities;

vi. There are adequate operating and administrative procedures and practices, systems or accounting internal control systems, and internal management controls which have been established by management; or

vii. Indications of fraud, abuse, or illegal acts are identified for further investigation.

B. The Auditor may provide non-audit services that are not covered by Government Audit Standards, provided that the service does not impair the auditor's independence. Decisions to perform non-audit services will be based on two overarching principles:

i. Audit organizations should not provide non-audit services that involve performing management functions or make management decisions; and

ii. Audit organizations should not audit their own work or provide non-audit services in situations where the non-audit services are significant/material to the subject matter of audits.

V. Audit Plan

A. At the beginning of each fiscal year, the Auditor ~~shall~~will submit a proposed annual audit plan to the Audit Committee for review and input. The plan ~~shall~~will include the schools, offices, activities, functions, and programs proposed for audit during the year. Upon review of the plan, the Audit Committee will recommend an annual audit plan to the full Board for approval.

B. In consultation with the Audit Committee, the Auditor will select topics based on potential for cost savings and service improvements; level of public and school board interest; evidence of problems or wrongdoing; risk of loss or abuse; and availability of audit staff.

VI. Access to Employees, Records and Property

A. All PPS~~District~~ officers and employees ~~of shall~~will furnish the Auditor with requested information and unrestricted access to employees, information, and records within their custody or control regarding powers, duties, activities, organization, property, equipment, financial transactions, contracts, and methods of business required to conduct an audit or otherwise perform audit duties. Officers or employees who fail to provide access and/or information requested by the Auditor, may be subject to discipline up to and including termination.

B. All contracts with outside contractors and subcontractors ~~shall~~will provide for Auditor access to all financial and performance-related records, property, and equipment purchased in whole or in part with PPS~~District~~ funds.

C. The Auditor ~~shall~~will not publicly disclose any information received during an audit involving matters that are confidential, privileged, or are otherwise exempt from disclosure under applicable state or federal law. Reporting in such cases may be limited to the Board.

VII. Views of Responsible Officials

A. A final draft of each audit report ~~shall~~will be delivered to the manager responsible for the audited program and the Superintendent for review and comment before it is released. The responsible manager must respond in writing specifying agreement with audit findings and/or recommendations or reasons for disagreement with findings and/or recommendations, plans for implementing solutions to issues identified, and a timetable to complete such activities. The auditor must receive the response within 15 working

days. The Auditor may revise its report based on the substantive input of the responsible manager. The Auditor will report the responsible manager's response to the Auditor's findings, conclusions, and recommendations, as well as the responsible manager's planned corrective actions. If no response is received within the specific timeframe, the Auditor will note that fact in the audit report and will release the report. In the case of contracted audits, audits may be released without inclusion of a response.

VIII. Audit Reports

A. Each audit will result in a written report containing relevant background information, findings and recommendations and ~~shall~~will be delivered to the Audit Committee, Board, and the Superintendent. The report ~~shall~~will also be available for public examination, except as otherwise provided in this policy or prohibited by law.

IX. Report of Irregularities

A. If during an audit, the Auditor becomes aware of abuse or illegal acts or indications of such acts that could affect PPS~~the District~~, the auditor ~~shall~~will report the irregularities to the Audit Committee and the Superintendent. If the Superintendent is believed to be a party to abuse or illegal acts, the Auditor ~~shall~~will report the acts directly to the Audit Committee chair.

X. Annual Report

A. The auditor ~~shall~~will submit an annual report to the Board within 90 days of the fiscal year end indicating audits completed, major findings, corrective actions taken by administrative managers, and significant findings which have not been fully addressed by management.

XI. Audit Follow-up

A. Responsible managers should provide quarterly reports about the implementation of corrective action plans as specified in the plan. The Auditor may request periodic status reports from audited entities regarding actions taken to address reported deficiencies, audit recommendations, and completed action plans.

XII. Contract Auditors, Consultants, and Experts

A. Within budget limitations, the Auditor may obtain the services of Certified Public Accountants, qualified management consultants, or other professional experts as necessary to perform the Auditor's duties.

History: Adopted 6/71; amended 12/83; re-organizational rescission 9/9/02; re-adopted 6/13/05 BA 3330; Amended 8/13/07; Amended 12/11/2018; 1/2024